REC Ltd

RECLTD | Financials - Speciality Finance | Large Cap
Latest fiscal year: 2024 | Peer set: Financials (broad sector, 23 companies) | Generated: 2026-10-26

1. Snapshot

Rs 47,517 cr Sales	**Rs 14,145 cr** Net profit	**20.4%** Return on equity	**29.8%** Net profit margin
6.42x Debt-to-equity	**13.3%** Revenue CAGR	**31.5x** P/E ratio	**Rs 291,917 cr** Market cap

2. Financial health score

96.7

Grade A - Strong

out of 100 | data coverage 100%
Ranked 3 of 91 companies by score

Pillar	Score (0-100)	Weight used	Points added
Profitability	100	45.7%	45.7
Leverage	n/a	not applicable	-
Growth	94	54.3%	51.0
Cash quality	n/a	not applicable	-

How the score is built

Metric	Value	Points	Nominal weight	Weight used	Contribution	Note
Return on equity	20.40%	100	12	26.1%	26.1	Profit earned per rupee of shareholder capital; 20% or more earns full marks, 0% or less earns none.
Net profit margin	29.77%	100	9	19.6%	19.6	Share of sales kept as profit; 20% or more earns full marks.
Operating margin	n/a	n/a	9	-	-	Not applicable to banks, NBFCs and insurers (borrowing is their business model).
Debt-to-equity	n/a	n/a	15	-	-	Not applicable to banks, NBFCs and insurers (borrowing is their business model).
Interest coverage	n/a	n/a	10	-	-	Not applicable to banks, NBFCs and insurers (borrowing is their business model).
Revenue growth (CAGR)	13.34%	89	12.5	27.2%	24.2	Compound annual sales growth over up to 5 years; 15% or more earns full marks.
Profit growth (CAGR)	19.76%	99	12.5	27.2%	26.9	Compound annual net-profit growth over up to 5 years; 20% or more earns full marks.
Cash conversion (CFO / PAT)	n/a	n/a	20	-	-	Not applicable to banks, NBFCs and insurers (borrowing is their business model).
Total			100	100%	96.7	Sum of the contributions above.

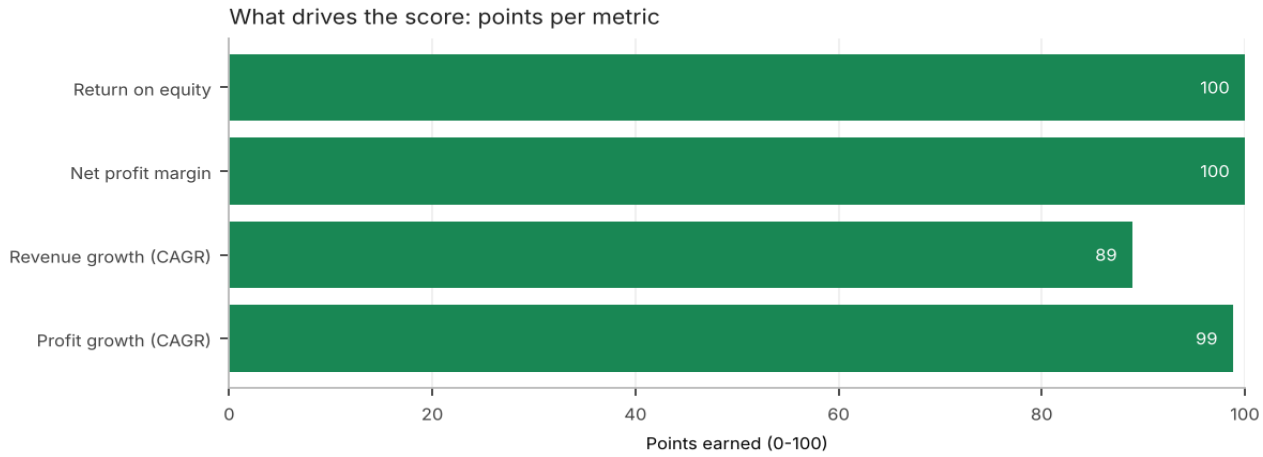
Strengths

- Return on equity: 20.40% (100/100 points)
- Net profit margin: 29.77% (100/100 points)
- Profit growth (CAGR): 19.76% (99/100 points)

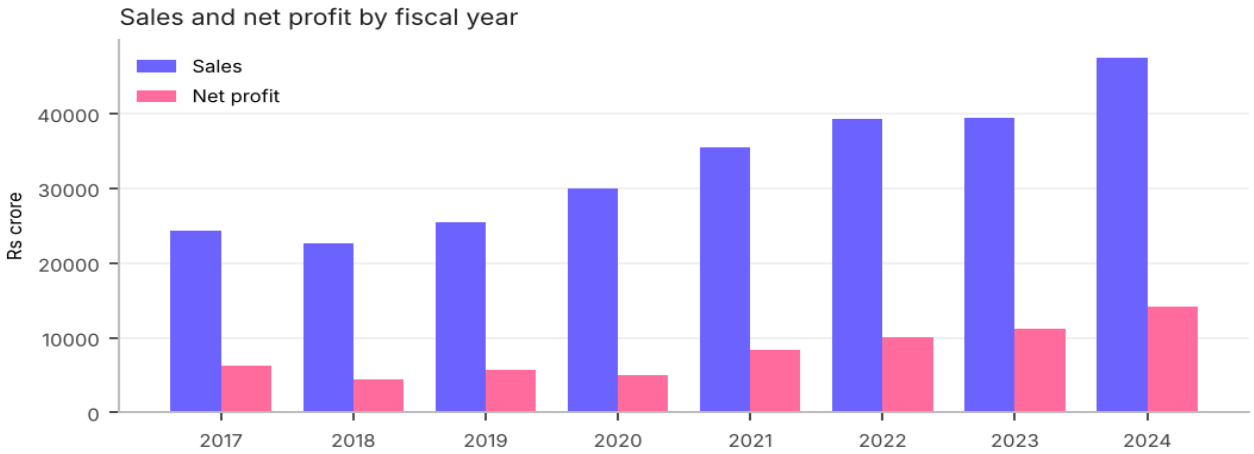
Caveats

- Bank / NBFC / insurer: leverage, interest coverage, operating margin and cash conversion are not scored.

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3. Sales and profit trend



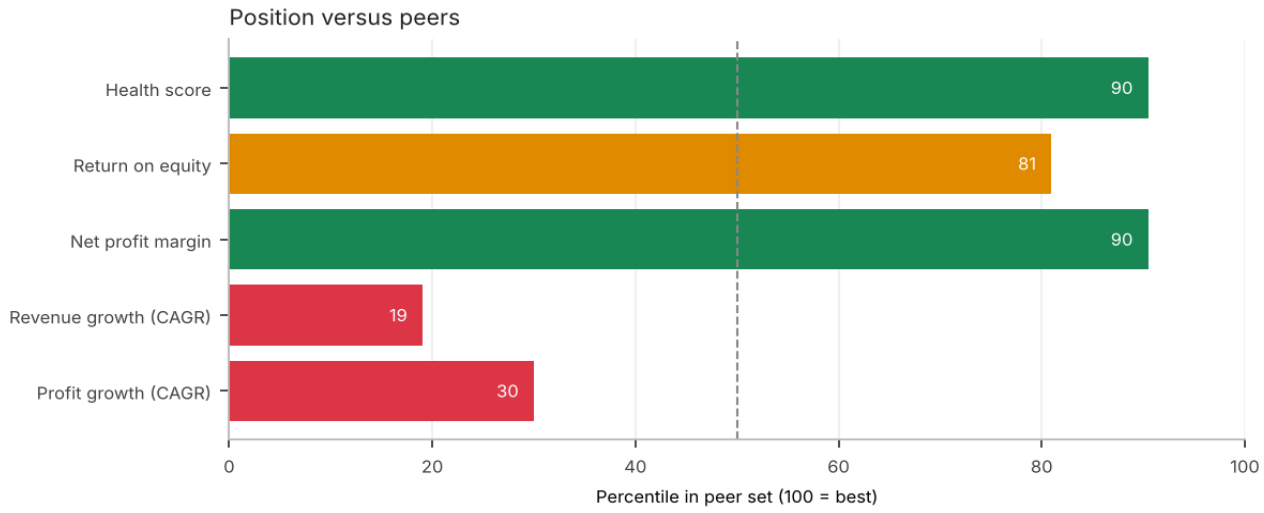
4. Peer benchmarking

Compared with 22 peers in the broad sector 'Financials': AXISBANK, BAJAJFINSV, BAJAJHLDNG, BAJFINANCE, BANKBARODA, CANBK, CHOLAFIN, HDFCBANK, HDFCLIFE, ICICIBANK, ICICIGI, ICICIPRULI, INDUSINDBK, IRFC ....

Metric	Company	Peer median	Difference	Percentile	Rank	Verdict
Health score	96.70	89.80	6.90	90	3 of 22	Above peers
Return on equity	20.40%	15.72%	4.67%	81	5 of 22	Above peers
Net profit margin	29.77%	17.85%	11.92%	90	3 of 22	Above peers
Operating margin	n/a	n/a	-	-	-	not applicable
Debt-to-equity	n/a	n/a	-	-	-	not applicable
Interest coverage	n/a	n/a	-	-	-	not applicable
Revenue growth (CAGR)	13.34%	17.48%	-4.14%	19	18 of 22	Below peers
Profit growth (CAGR)	19.76%	23.43%	-3.67%	30	15 of 21	Below peers
Cash conversion (CFO / PAT)	n/a	n/a	-	-	-	not applicable
P/E ratio	31.49x	34.92x	-3.43x	n/a	-	Valuation multiple: shown for context, not ranked.

Percentile = share of other peers the company beats (100 = best; for debt-to-equity lower is better). P/E is shown for context and is not ranked.

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5. Data-quality warnings

Data reliability: **Low** (1 errors, 3 warnings in the most recent 3 fiscal years and any undated checks). Rating rules: Low = at least one error, Medium = at least one warning, High = none.

- [ERROR] profitandloss (Mar 2024): expenses are negative (-366)
- [WARNING] balancesheet: 1 row(s) (Sep 2024) do not fall on the company's fiscal year-end month (Mar); treated as part-year data and excluded from annual analytics
- [WARNING] financial_ratios (Mar 2024): operating margin 100.77% is outside -100..100
- [WARNING] profitandloss (Mar 2024): operating margin 101.00% is outside -100..100

6. Methodology

All figures are taken from the latest full fiscal year in the project database (db/nifty100.db). Half-year rows, TTM rows and rows with malformed period labels are excluded; duplicate rows describing the same fiscal year are collapsed.

Indicator formulas

Indicator	Formula
Return on equity	net profit / (equity capital + reserves) x 100
Net profit margin	net profit / sales x 100
Operating margin	operating profit / sales x 100
Debt-to-equity	borrowings / (equity capital + reserves)
Interest coverage	(profit before tax + interest) / interest
Revenue / profit CAGR	(end / start)^(1 / years) - 1 over up to 5 years (minimum 3); profit CAGR only when both ends are positive
Cash conversion	cash from operations / net profit (only when profit is positive)

Scoring thresholds and weights

Pillar	Metric	0 points at	100 points at	Weight
Profitability	Return on equity	0%	20%	12
Profitability	Net profit margin	0%	20%	9
Profitability	Operating margin	0%	25%	9
Leverage	Debt-to-equity	2x	0.3x	15
Leverage	Interest coverage	1x	8x	10
Growth	Revenue growth (CAGR)	0%	15%	12.5
Growth	Profit growth (CAGR)	0%	20%	12.5
Cash quality	Cash conversion (CFO / PAT)	0.3x	1x	20

- Points between the two thresholds are interpolated in a straight line and clipped to 0-100. Grades: A (75+, Strong), B (60+, Healthy), C (45+, Moderate), D (30+, Weak), E (0+, Distressed).

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- A missing metric, or one excluded because the computed value is outside a plausible range (a sign of bad source data), is dropped and the remaining weights are re-scaled to 100. If less than 50% of the applicable weight has data, the score is withheld.
- Banks, NBFCs and insurers are not scored on leverage, interest coverage, operating margin or cash conversion, because those ratios are not comparable with industrial companies. Their score rests on fewer metrics, so compare them with their own peer group.
- Peer set: the curated peer group from the database if it has at least 3 members, otherwise the broad sector. Percentile is the share of the other peers the company beats, with ties counted half; interest coverage is capped at 100x for ranking.
- Data reliability is derived from the data-quality monitor: missing values, duplicate periods, inconsistent period labels and implausible metrics.
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